

OFFICE OF THE AUDITOR GENERAL

This policy establishes guidelines for the responsibilities related to the Office of the Auditor General.

A. Purpose. The purpose of the Office of the Auditor General is to provide independent, objective assurance and consulting services, designed to add value and improve Loudoun County operations. The mission of the Auditor General is to enhance and protect organizational value by providing risk-based and objective assurance, advice, and insight. The Office of the Auditor General accomplishes its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of governance, risk management, and control processes.

B. Professionalism. The Office of the Auditor General will govern itself by adherence to the requirements of the Institute of Internal Auditor's International Professional Practices Framework, including the Core Principles for the Professional Practice of Internal Auditing, the Code of Ethics, the International Standards for the Professional Practice of Internal Auditing, and the definition of "Internal Auditing". This guidance constitutes principles for the fundamental requirements for the professional practice of internal auditing and for evaluating the effectiveness of the Office of the Auditor General's performance. In addition, the Office of the Auditor General will adhere to relevant School Board policies and accompanying LCPS regulations and procedures.

The Auditor General will report annually to the School Board and LCPS senior leadership regarding the Office of the Auditor General's conformance with the Code of Ethics and the Standards.

C. Organization. The Office of the Auditor General is established to assist the School Board and LCPS senior leadership to fulfill their respective responsibilities to ensure compliance with applicable laws, policies, rules and regulations, and to ensure efficient operations.

The Auditor General will report functionally to the School Board. The Office of Auditor General will report directly to the Audit Committee. For the purpose of administration, the Auditor General will report to the Chair of the Audit Committee.

The Auditor General will submit a self-evaluation to the Audit Committee annually for review. The Audit Committee will make revisions, if any, then present the final evaluation to the Auditor General. The Audit Committee Chair will inform the School Board of the results of the evaluation. At its discretion the School Board may review and discuss the evaluation.

OFFICE OF THE AUDITOR GENERAL

The Auditor General will communicate and interact with the School Board in Board and committee meetings. The Auditor General will meet with the School Board in closed session discussions, as appropriate and to the extent provided by law.

D. Authority.

1. Overview. The Office of the Auditor General, to the extent permitted by law—and with strict accountability for confidentiality and safeguarding records and information—is authorized full, free, and unrestricted access to any and all LCPS records, physical properties, and personnel (to include individuals, who receive compensation from LCPS and/or individuals who are authorized to use LCPS equipment and/or property) pertinent to carrying out its responsibilities. All LCPS employees are expected to assist the Office of the Auditor General in fulfilling its roles and responsibilities. To the extent permitted by law, the Auditor General is also authorized to freely access and directly communicate with the School Board and its members, in the presence of members of the LCPS senior leadership or otherwise.

2. School Board's Duties. To establish, maintain, and assure that the Office of the Auditor General has sufficient authority to fulfill its duties, the School Board will:

- a. Approve the Office of the Auditor General Policy;
- b. Approve annual risk-based internal audit plans;
- c. Approve the Office of the Auditor General's annual budget and resource plans;
- d. Receive communications from the Auditor General on the Office of the Auditor General's performance, relative to its audit plan and other matters;
- e. Approve decisions regarding the appointment and removal of the Auditor General; and
- f. Make appropriate inquiries of management and the Auditor General to determine whether there is inappropriate scope or resource limitations.

3. Auditor General's Authority. The School Board authorizes the Office of the Auditor General to:

OFFICE OF THE AUDITOR GENERAL

- a. Allocate resources, set frequencies, select subjects, determine scopes of work, apply techniques required to accomplish audit objectives, and issue reports; and
- b. Obtain assistance from necessary LCPS personnel, as well as other specialized services within or beyond the School Board, in order to fulfill the Office of the Auditor General's responsibilities under this Policy.

E. Independence and Objectivity.

1. Overview. The Auditor General will ensure that the Office of the Auditor General remains free from all conditions that threaten the ability of internal auditors to carry out their responsibilities in an unbiased manner, including matters of audit selection, scope, procedures, frequency, timing, and report content. If the Auditor General determines that independence or objectivity may be impaired, in fact or appearance, the details of impairment will be disclosed to appropriate parties.

The Auditor General will maintain an unbiased mental attitude that allows them to perform their responsibilities objectively and in such a manner that they believe in their work product, that no quality compromises are made, and that they do not subordinate their judgment on audit matters to others.

2. Restrictions on Auditor General's Responsibilities. The Auditor General will have no direct operational responsibility or authority over any of the activities audited. Accordingly, internal auditors will not implement internal controls, develop procedures, install systems, prepare records, or engage in any other activity that may impair their judgment, including:

- a. Assessing specific operations for which they had responsibility within the previous year;
- b. Performing any operational duties for LCPS or its affiliates;
- c. Initiating or approving transactions external to the Office of the Auditor General; or
- d. Directing the activities of any LCPS employee not employed by the Office of the Auditor General, except to the extent that such employees have been appropriately assigned to auditing teams or to otherwise assist the Office of the Auditor General.

OFFICE OF THE AUDITOR GENERAL

Where the Auditor General has or is expected to have roles and/or responsibilities that fall outside of internal auditing, safeguards will be established to limit impairments to their independence or objectivity.

3. Objectivity. The Office of the Auditor General will:

- a. Disclose any impairment of independence or objectivity, in fact or in appearance, to appropriate parties;
- b. Exhibit professional objectivity in gathering, evaluating, and communicating information about the activity or process being examined;
- c. Make balanced assessments of all available and relevant facts and circumstances; and
- d. Take necessary precautions to avoid being unduly influenced by its own interests or by others in forming judgments.

F. Scope of Internal Audit Activities.

1. Overview. The scope of the Office of the Auditor General's activities encompasses, but is not limited to, objective examinations of evidence for the purpose of providing independent assessments to the School Board, LCPS senior leadership, and outside parties on the adequacy and effectiveness of governance, risk management, and control processes for LCPS. Internal Audit assessments include evaluating whether:

- a. Risk relating to the achievement of LCPS' strategic objectives are appropriately identified and managed;
- b. The actions of LCPS' officers, directors, employees, personnel, and contractors are in compliance with policies, procedures, and applicable laws, regulations, and governance standards;
- c. The results of operations or programs are consistent with established goals and objectives;
- d. Operations or programs are being carried out effectively and efficiently;

OFFICE OF THE AUDITOR GENERAL

- e. Established processes and systems enable compliance with the policies, procedures, laws, and regulations that could significantly impact LCPS;
- f. Information and the means used to identify, measure, analyze, classify, and report such information are reliable and have integrity; and
- g. Resources and assets are acquired economically, used efficiently, and protected adequately.

2. Reporting Activities and Other Advisement. The Auditor General will report periodically to the School Board and senior leadership regarding:

- a. The Office of the Auditor General's purpose, authority, and responsibility;
- b. The Office of the Auditor General's plan and performance relative to its plan;
- c. The Office of the Auditor General's conformance with the IIA's Code of Ethics and the Standards, as well as action plans to address any significant conformance issues therewith;
- d. Significant risk exposures and control issues, including fraud risks, governance issues, and other matters requiring the attention of, or requested by, the School Board;
- e. Results of audit engagements or other activities; and
- f. Any response to risk by management that may be unacceptable to LCPS.

The Auditor General also coordinates activities, where possible, and considers relying upon the work of other internal and external assurance and consulting service providers as needed. The Auditor General may perform advisory and related client activities, the nature, and scope of which will be agreed upon with the client, provided the Auditor General does not assume management responsibility.

Opportunities for improving the efficiency of governance, risk management, and control processes may be identified during engagements. These opportunities will be communicated to the School Board and/or the appropriate level of LCPS senior leadership.

OFFICE OF THE AUDITOR GENERAL

G. Responsibility. The Auditor General has the responsibility to:

1. Submit, at least annually, to the School Board and senior leadership a risk-based internal audit plan for review and approval;
2. Communicate to the School Board and senior leadership the impact of resource limitations on the internal audit plan;
3. Review and adjust the internal audit plan, as necessary, in response to change in LCPS' risks, operations, programs, systems, and controls;
4. Communicate to the School Board and senior leadership any significant interim changes to the internal audit plan;
5. Ensure each engagement of the internal plan is executed, including the establishment of objectives and scope, the assignment of appropriate and adequately supervised resources, the documentation of work programs and testing results, and the communication of engagement results with applicable conclusions and recommendations to appropriate parties;
6. Follow up on engagement findings and corrective actions, and report periodically to the School Board and senior leadership any corrective actions not effectively implemented;
7. Ensure the Office of the Auditor General collectively possesses or obtains the knowledge, skills, and other competencies needed to meet the requirements of the internal audit policy;
8. Ensure emerging trends and successful practices in internal auditing are considered;
9. Establish and ensure adherence to policies and procedures designed to guide the Office of the Auditor General; and
10. Ensure adherence to LCPS' School Board's relevant policies and procedures, unless such policies and procedures conflict with the internal audit policy. Any such conflicts will be resolved or otherwise communicated to the School Board and LCPS senior leadership.
 - a. If the Office of the Auditor General is prohibited by law or regulation from conformance with certain parts of the Standards, the Auditor

OFFICE OF THE AUDITOR GENERAL

General will ensure appropriate disclosures and will ensure conformance with all other parts of the Standards.

11. Coordinate with Division Counsel's Office to communicate and interact with external auditors, when appropriate or necessary to fulfill the authorities, duties, and responsibilities of the OAG under this policy in the event of a conflict, lack of available personnel or resources, or for any other reason causing an internal audit to be unavailable.

H. Quality Assurance and Improvement Program. The Auditor General will maintain a quality assurance and improvement program that covers all aspects of the Office of the Auditor General. The program will include an evaluation of the Office of the Auditor General's conformance with the Standards and an evaluation of whether internal auditors apply the IIA's Code of Ethics. The program will also assess the efficiency and effectiveness of the Office of the Auditor General and identify opportunities for improvement.

The Auditor General will communicate to the School Board and LCPS senior leadership on the Office of the Auditor General's quality assurance and improvement program, including results of internal assessments (both ongoing and periodic) and external assessments conducted at least once every five years by qualified, independent assessors or assessment teams from outside of LCPS.

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